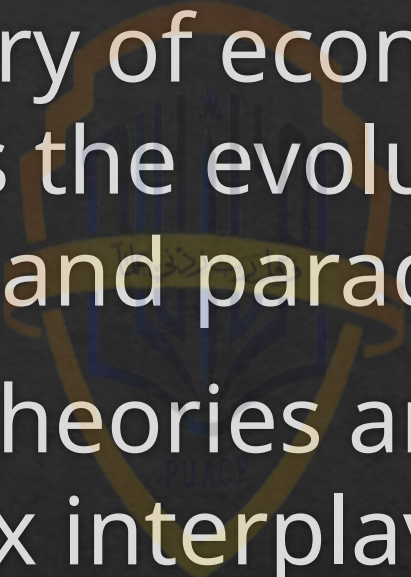




Process of modern theories and thoughts-From classical school till date

HISTORY OF ECONOMIC THOUGHT

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- The history of economic thought is a discipline that examines the evolution of economic ideas, theories, and paradigms throughout history.
 - Modern theories and thoughts have emerged from a complex interplay of economic, political, social, and technological factors.
 - Key developments in economic thought from the late 19th century to the early 21st century

1. Classical Economics (Late 18th to 19th Century)

- The classical economists, including Adam Smith, David Ricardo, and John Stuart Mill, laid the foundation of modern economic thought.
- They emphasized the role of self-interest, competition, and the invisible hand in guiding the market towards equilibrium.
- The theory of comparative advantage, introduced by Ricardo, highlighted the gains from international trade.

2. Marxian Economics (19th Century)

- Karl Marx's works, particularly "Das Kapital," provided a critical analysis of capitalism.
- Marx emphasized the exploitative nature of the capitalist system and predicted its eventual collapse due to internal contradictions.
- His ideas formed the basis of Marxism and later influenced various socialist movements

3. Neoclassical Economics (Late 19th to 20th Century)

- Neoclassical economists, such as Alfred Marshall and Leon Walras, focused on utility maximization and the theory of supply and demand.
- They introduced mathematical rigor into economic analysis and developed general equilibrium models.
- This approach dominated mainstream economics throughout the 20th century.

4. Keynesian Economics (20th Century)

- John Maynard Keynes's "The General Theory of Employment, Interest, and Money" revolutionized economic thought during the Great Depression.
- Keynes argued for government intervention through fiscal and monetary policies to manage aggregate demand and stabilize the economy.
- This gave rise to the Keynesian consensus and became the basis for post-World War II economic policies.

5. Monetarism (Mid-20th Century)

- Led by economists like Milton Friedman, monetarism emphasized the importance of controlling the money supply to manage inflation and stabilize the economy.
- Monetarists criticized Keynesian policies and advocated for a limited role of government in the economy.

6. New Classical Economics (Late 20th Century)

- New classical economists, including Robert Lucas and Thomas Sargent, emphasized the importance of *rational expectations* and *market efficiency*.
- They challenged Keynesian views and argued that individuals and firms would adapt their behavior based on their expectations of government policies.

What Is Rational Expectations Theory?

- The rational expectations theory posits that individuals base their decisions on human rationality, information available to them, and their past experiences.
- The rational expectations theory is a concept and theory used in macroeconomics.
- Economists use the rational expectations theory to explain anticipated economic factors, such as inflation rates and interest rates.
- The idea behind the rational expectations theory is that past outcomes influence future outcomes.
- The theory also believes that because people make decisions based on the available information at hand combined with their past experiences, most of the time their decisions will be correct.

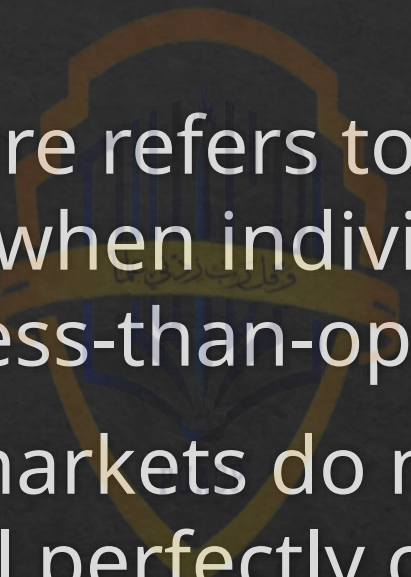


Market Efficiency

- Market efficiency refers to how well current prices reflect all available, relevant information about the actual value of the underlying assets.
- A truly efficient market eliminates the possibility of beating the market, because any information available to any trader is already incorporated into the market price.
- As the quality and amount of information increases, the market becomes more efficient reducing opportunities for arbitrage and above market returns

7. New Keynesian Economics (Late 20th Century)

- Building upon Keynesian and neoclassical ideas, new Keynesians integrated **market imperfections (?)** and **information asymmetries (?)** into their models.
- They acknowledged the role of government intervention in addressing **market failures (?)** and promoting macroeconomic stability.

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- Market failure refers to the inefficient allocation of resources that occurs when individuals acting in rational self-interest produce a less-than-optimal outcome
 - Imperfect markets do not meet the rigorous standards of a hypothetical perfectly or purely competitive market. Imperfect markets are characterized by having competition for market share, high barriers to entry and exit, different products and services, and a small number of buyers and sellers
 - Information asymmetry is an imbalance between two negotiating parties in their knowledge of relevant factors and details. Typically, that imbalance means that the side with more information enjoys a competitive advantage over the

8. Austrian Economics (late 19th to 20th centuries)

- Austrian economics, with figures like Ludwig von Mises and Friedrich Hayek, focused on the role of individual decision-making, entrepreneurship, and the limitations of central planning.
- They argued for minimal government intervention and believed that market mechanisms were best equipped to allocate resources efficiently.

9. Development Economics (mid-20th century onwards):

- Development economics emerged as a specialized field concerned with the economic disparities between developed and developing countries.
- The theories in this area encompass a range of approaches, from the dependency theory to the modernization theory, and focus on understanding the unique challenges faced by developing nations in achieving economic

10. Behavioral Economics (late 20th century onwards)

- Behavioral economics challenged the traditional assumption of rationality in economic decision-making and explored the influence of psychological factors on human choices
- Researchers like Daniel Kahneman and Amos Tversky contributed significantly to this field by demonstrating how people's cognitive biases can affect economic behavior

11. New Growth Theory (late 20th century onwards)

- New Growth Theory, popularized by Paul Romer and Robert Lucas, explored the drivers of long-term economic growth, emphasizing the role of innovation, knowledge, and human capital in boosting productivity and economic development.

12. Modern Monetary Theory (MMT) (late 20th century onwards)

- Modern Monetary Theory challenges conventional beliefs about government budget constraints and advocates for increased government spending as long as inflation remains under control.
- It contends that in countries with sovereign currencies, like the United States, fiscal policy can be used more expansively to achieve full employment and promote economic growth.